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First Acceptance Corporation Announces Sale of Retail Insurance Agency Operations to Alliant Insurance Services

Monday, 04 December 2023 09:00 AM

Topic: Company Update

NASHVILLE, TN / ACCESSWIRE / December 4, 2023 / First Acceptance Corporation (OTCQX:FACO) today announced that, on December 1, 2023, it sold its wholly owned subsidiary, Acceptance Insurance Agency of Tennessee, Inc. ("AITN"), to Alliant Insurance

Services, Inc. ("Alliant") for cash consideration of up to $120 million, consisting of $55 million paid at closing, $20 million to be paid throughout 2024, and up to $45 million paid at the end of each year over the next three years (2024-2026) based upon achievement of certain annual production targets.

AITN, the retail sales agency operations subsidiary of FACO, principally sells non-standard automobile insurance and related products through employee-agents operating from 288 leased retail locations in 13 states. The insurance sold by AITN is underwritten and serviced by the FACO insurance companies known as the First Acceptance Insurance Group and through third-party carriers for which it receives a commission. The purchase agreement provides that, effective December 1, 2023, Confie, a portfolio company of Alliant, and certain of its affiliates, will operate as independent agents for the First Acceptance Insurance Group's non-standard automobile insurance products written through AITN. Following this transaction, these insurance companies will sell non-standard personal automobile insurance written solely through independent agents.

The Company's President and Chief Executive Officer, Ken Russell, commented, "We are excited about the future of our Company following this sale of our retail insurance agency operations. With this transaction, FACO will immediately increase stockholder value and provide additional statutory surplus to our insurance companies. Going forward, our Company will be able to focus on its insurance company operations distributing non-standard automobile insurance products solely through independent agents."

Wachtell, Lipton, Rosen & Katz served as legal counsel to First Acceptance Corporation in connection with the transaction. Morea Schwartz Bradham Friedman & Brown LLP served as legal counsel to Alliant in connection with the transaction.

More information about First Acceptance Corporation can be found online at www.acceptance.com.

About Alliant Insurance Services

Alliant Insurance Services is one of the nation's leading distributors of diversified insurance products and services. They operate through a network of specialized national platforms and local offices to offer their clients a comprehensive portfolio of solutions built on innovative thinking and personal service. The business of managing risk is getting more complex, and Alliant is meeting this complexity head-on, not with more layers of management, but with more creativity and agility. Alliant is changing the way their clients approach risk management and benefits, so they can capitalize on new opportunities to grow and protect their organizations. Visit them at alliant.com.

About Confie

Established in 2008, Confie is the nation's leading personal lines insurance distribution company. Confie meets customers wherever they are - with, prior to this transaction, more than 950+ retail locations in 23 states, the Bluefire general agency, and a telephone and online shared service center servicing all 50 states. With flexible insurance options, outstanding value, and convenient service, Confie's aspiration is to be the most trusted source of insurance solutions so their customers can have peace of mind. Confie is a portfolio company of Alliant. For more information about Confie, visit them at confie.com.

Forward-Looking Statements

This press release contains forward-looking statements. All statements made other than statements of historical fact are forward-looking statements. You can identify these statements from our use of words such as "believe," "expect," "trend," "focus," "optimism," or the negative of these objective terms and similar expressions. These statements, which have been included in reliance on the "safe harbor" provisions of the federal securities laws, involve risks and uncertainties. Investors are hereby cautioned that these statements may be affected by important factors, including, among others, the factors set forth under the caption "Risk Factors" in our Annual Report for the year ended December 31, 2022 filed by the Company with the OTCQX. Except as required by law, we undertake no obligation to publicly update or revise any forward-looking statement, whether as a result of new information, future developments or otherwise.

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SOURCE: First Acceptance Corporation

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Private Companies

Agencies

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Public Relations Products

Access PR Platform

Press Release Distribution

Media Database

Media Pitching

Media Monitoring

Media and Industry Targeting

Social Monitoring

Insights and Analytics

ACCESS Verified

Investor Relations Products

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